The more seriously investors take the per-share earnings figures as published, the more necessary it is for them to be on their guard against accounting factors of one kind and another that may impair the true comparability of the numbers. We have mentioned three sorts of these factors: the use of *special charges,* which may never be reflected in the per-share earnings, the reduction in the normal *income-tax* deduction by reason of past losses, and the *dilution* factor implicit in the existence of substantial amounts of convertible securities or warrants.[1] A fourth item that has had a significant effect on reported earnings in the past is the method of treating depreciation—chiefly as between the "straight-line" and the "accelerated" schedules. We refrain from details here. But as an example current as we write, let us mention the 1970 report of Trane Co. This firm showed an increase of nearly 20% in per-share earnings over 1969—$3.29 versus $2.76—but half of this came from returning to the older straight-line depreciation rates, less burdensome on earnings than the accelerated method used the year before. (The company will continue to use the accelerated rate on its income-tax return, thus deferring income-tax payments on the difference.) Still another factor, important at times, is the choice between charging off research and development costs in the year they are incurred or amortizing them over a period of years. Finally, let us mention the choice between the FIFO (first-in-first-out) and LIFO (last-in-first-out) methods of valuing inventories.[*]

An obvious remark here would be that investors should not pay any attention to these accounting variables if the amounts involved are relatively small. But Wall Street being as it is, even items quite minor in themselves can be taken seriously. Two days before the ALCOA report appeared in the *Wall Street Journal,* the paper had quite a discussion of the corresponding statement of Dow Chemical. It closed with the observation that "many analysts" had been troubled by the fact that Dow had included a 21-cent item in regular profits for 1969, instead of treating it as an item of "extraordinary income." Why the fuss? Because, evidently, evaluations of Dow Chemical involving many millions of dollars in the aggregate seemed to depend on exactly what was the percentage gain for 1969 over 1968—in this case either 9% or 4½%. This strikes us as rather absurd; it is very unlikely that small differences involved in one year's results could have any bearing on future average profits or growth, and on a conservative, realistic valuation of the enterprise.